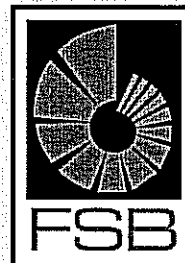


DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA



LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998) ("The Act")

Addressee:	Long-term insurers		Reference:	10/17/1 & 10/7/2/2/1 &10/7/1/8/B
Edition	Issue Date	Effective Date	Directive	Status
1 st	1 October 2003	1 October 2003	140.B.i (LT)	Withdrawn
2 nd	8 November 2004	8 November 2004	140.B.ii (LT)	Withdrawn
3 rd	10 March 2006	10 March 2006	140.B.iii (LT)	In force

**APPLICATION OF SA GAAP TO THE REQUIREMENTS –
DIFFERENCES BETWEEN THE ANNUAL FINANCIAL STATEMENTS AND THE LONG-
TERM INSURANCE RETURN**

1. Purpose of this directive

The purpose of this directive is to clarify the application of South African Statements of General Accepted Accounting Practice (SA GAAP) to the Prescribed Requirements for the Calculation of the Value of the Assets, Liabilities and Capital Adequacy Requirement ("Requirements") prescribed under Schedule 3 of the Long-term Insurance Act. This directive also indicates the differences between the Annual Financial Statements (AFS) and the Statutory Return that long-term insurers must submit to the Registrar.

Due to the fact that the International Accounting Standards are currently in a process of being reviewed, more differences between the AFS and the Statutory Return could arise in future. This directive contains the differences that will be accepted by this office, without the insurer having to apply for special dispensation as set out in paragraph 10 of the Requirements (although the differences still need to be disclosed). Any other differences must be disclosed in the Statutory Return (refer to statement E9) and fully motivated. This office reserves the right to enquire on any of those differences. If there is any uncertainty we recommend that the insurer contact this office - it will then be considered on a case-by-case basis.

2. Valuation of assets and liabilities in the statutory return

The general requirements for the valuation of assets and liabilities are stated in paragraph 3 of the Requirements.

2.1 Valuation of contingent liabilities for policy benefits that have not become claimable

All differences between the values of liabilities in the actuarial balance sheet, the balance sheet in the AFS, and the statutory return must be reported and explained to the Registrar in the Statutory Return.

2.1.1 Deferred tax

In the statutory return, the deferred tax asset or liability should be reallocated and included in the contingent liabilities under unmatured policies (in terms of the Act). The reallocation of the deferred tax item from other liabilities to policyholder liabilities will be disclosed in statement E9.1 of the statutory return.

The total deferred tax asset or liability should be shown as separate line items in the balance sheet, to comply with AC102. In a note in the financial statements, the deferred tax item should be split into its components, showing the deferred tax item on policyholders' funds separately.

Investment properties

In South Africa taxation is levied on income and capital gains at different effective rates. A debate has arisen over the appropriate rate and applicable amount to use in determining the deferred tax adjustment required in terms of IAS 12. We recommend that insurers clarify this issue with their auditors for AFS purposes.

Until there is clarity on this issue, the Registrar will accept deferred tax liabilities in respect of investment properties on the taxation rates applicable to capital gains tax for statutory purposes. This may therefore lead to a difference between the AFS and statutory return, which will need to be explained in Statement E9.

2.2 Valuation of other liabilities

Except if specifically directed otherwise in this directive, the liabilities of an insurer, other than its contingent liabilities under long-term policies, must be determined in accordance with South African Statements of Generally Accepted Accounting Practice, as stated in paragraph 7 of Schedule 3 to the Act.

2.3 Valuation of assets

The Requirements determine that assets must be valued at fair value, except in the following cases where the Requirements specifically direct otherwise:

- (i) The value of a group undertaking,
- (ii) the value of shares held by an insurer in its holding company, and
- (iii) the value of the shares of a cell, if an insurer has a cell in another licensed insurer.

The following assets and/or their values are specifically directed otherwise by the Statutory Valuation Method and may result in differences between the AFS and the statutory return. These differences must be reported and explained in the statutory return.

- (i) Assets which are not of the kinds specified in Schedule 1 of the Long-term Insurance Act.
- (ii) Assets to be disregarded in terms of paragraph 4(b) of Schedule 3 of the Long-term Insurance Act.

3. Disclosure of income, expenses and claims in the Income Statement and Balance Sheet

IAS39 does have a major impact on the disclosure of investment contracts in the AFS. One of the consequences of IAS39 is that premium income on investment contracts will not be disclosed in the Income Statement but directly reported in the Balance Sheet.

The disclosure in the statutory return however has not changed and reporting continues as before. In other words, all premiums received and outstanding must be reflected as such in the statutory return. The same will also apply to claims paid and outstanding.

4. Information sharing of directive

Copies of this directive are available on the website of the FSB (www.fsb.co.za) and must be brought to the attention of the auditor (appointed under section 19 of the Act) and the statutory actuary (appointed under section 20 of the Act) of every insurer.


pp **REGISTRAR OF LONG-TERM INSURANCE**